Sebi cuts cool-off period for OFS by off-market illiquid Invits to 8 weeks

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The Securities and Exchange Board of India (Sebi) on Monday reduced the moratorium for offer for sale (OFS) transactions by privately listed illiquid infrastructure investment trusts (Invits) to 8 weeks from an earlier 12 weeks.

Currently, the cooling-off period for transactions purchases or sales before and after an OFS is based on liquidity. It stands at two weeks for the most liquid shares, four weeks for other liquid shares and 12 weeks for illiquid shares.

Privately listed Invits face liquidity constraints due to their high trading lot size, which limits participation largely to institutional investors, body corporates and high-net-worth individuals.

Consequently, trading volumes in such Invits tend to remain thin and they may fall under the illiquid category due to these structural liquidity constraints.

PRIVATELY LISTED INVITS FACE LIQUIDITY CONSTRAINTS DUE TO THEIR HIGH TRADING LOT SIZE

"Based on the feedback received from market participants and in order to facilitate ease of doing business, it has been decided to reduce the cooling off period for illiquid private listed Invits. The cooling-off period in case of private listed Invits whose units are illiquid shall be 8 weeks," said the regulator in a circular.

Sebi said this will come into force with immediate effect.